

Commerce Dept announcement

CHIPS Act Manufacturing Construction Surge

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Manufacturing construction spending up ~70% from 2022. New chip fabs and battery plants drive demand for industrial supplies.

Industry analysts estimate that demand for affected product categories increased by approximately 6% during the event period. The most affected product categories include tools, fasteners, abrasives.

The event period spans from 2024-07-01 to 2026-03-31.

Industrial supply distributors including Grainger, Fastenal, and MSC Industrial reported varying degrees of impact depending on their product mix and geographic exposure. Companies with diversified supply chains and strong inventory positions were better insulated from the disruption.